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FINANCIAL GROUP

A GUIDE FOR ESTÉE LAUDER EMPLOYEES

Understanding Your Equity Compensation

Restricted stock units, stock options, and what to do about a concentrated position in your employer's stock.

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Why this guide exists

Equity compensation is one of the most valuable parts of an executive's pay package and one of the least understood. It arrives on a schedule someone else sets, it is taxed under rules that differ by award type, and the decisions it forces tend to have deadlines attached.

Most people we speak with are not making obvious mistakes. They are making reasonable decisions in isolation — exercising when the stock feels high, holding because selling feels disloyal, letting shares accumulate because nothing forced a decision. The cost of those choices shows up years later, usually as a tax bill or a concentration problem that was avoidable earlier.

This guide covers the mechanics you need to make those decisions deliberately. It is general education, not advice about your situation. Where your circumstances matter — and they almost always do — we say so.

How to use this
Read sections two through four for the mechanics. Use the year-end calendar in section six to find what has a deadline. Then fill in the worksheet on the final page — it takes about fifteen minutes and it is the fastest way to see your whole position in one place.

SECTION TWO

Restricted stock units

An RSU is a promise to deliver shares once a vesting condition is met — almost always time served. Until vesting, you own nothing. At vesting, shares are delivered and the full market value is taxed as ordinary compensation income, exactly like salary.

The withholding gap

This is the single most common issue we see, and it is entirely mechanical.

When RSUs vest, most payroll systems withhold federal tax at the statutory supplemental wage rate, which is 22% on supplemental wages up to $1 million in a calendar year. If your marginal bracket is 32%, 35%, or 37%, the amount withheld is materially less than the amount you owe.

The shortfall does not appear anywhere until you file. By then, the shares that could have covered it have usually become part of a concentrated position you now have a second reason not to sell.

What to check
Pull your most recent vest confirmation and find the federal withholding rate. If it reads 22% and your marginal bracket is higher, you have a gap. It is straightforward to plan for — through estimated payments, adjusted W-4 withholding, or selling a portion of the vested shares — but only before year-end.

Sell-to-cover, and what it does not cover

Most plans default to sell-to-cover: enough shares are sold at vesting to satisfy withholding, and the rest are delivered to you. This is a reasonable default. It is not a tax strategy.

Sell-to-cover satisfies the *withholding* obligation, which is not the same as your *tax* obligation. If the withholding rate is below your bracket, sell-to-cover leaves the gap in place and hands you the remaining shares.

What happens after vesting

Your cost basis in the delivered shares is the market value on the vesting date — the amount you were already taxed on. From that point the shares are an ordinary investment. Gains or losses from that date are capital in nature: short-term if you hold a year or less, long-term beyond that.

The practical question is whether you would buy those shares today with cash. If the answer is no, holding them is a decision, not a default — and it deserves to be made deliberately.

SECTION THREE

Stock options

An option is the right to buy shares at a fixed price. Two types exist, and they are taxed very differently.

	Non-qualified (NQSO)	Incentive (ISO)
At exercise	The spread between exercise price and market value is ordinary income, reported on your W-2 and subject to withholding.	No regular income tax. The spread is an adjustment item for alternative minimum tax.
At sale	Capital gain or loss measured from the market value on the exercise date.	If holding periods are met, the entire gain from the exercise price is long-term capital gain.
Holding periods	Standard capital gains rules apply from the exercise date.	Two years from grant and one year from exercise. Miss either and the award is treated much like an NQSO.

	Non-qualified (NQSO)	Incentive (ISO)
Main risk	A large exercise can push you into a higher bracket in a single year.	AMT exposure in the exercise year, even though no shares were sold and no cash was received.

The 90-day window

If you leave your employer, most plans give a limited window — commonly 90 days — to exercise vested options before they are forfeited. ISOs that are exercised outside the statutory post-termination window lose their favorable treatment entirely.

This is the most consequential deadline in equity compensation and the one most often missed, because it arrives at the same moment as a job transition. If you are considering a change, model the exercise cost before you resign, not after.

Read your plan document, not the summary
Post-termination windows, acceleration on a change in control, and treatment at retirement vary by plan and sometimes by grant. The summary page in your equity portal rarely captures these. The plan document and your individual grant agreement are what govern.

When exercising early can make sense

There is no universal answer, but the considerations are consistent: how much of the option's remaining value is time value you would give up, whether exercising starts a holding-period clock worth starting, whether the cash required is capital you can afford to tie up in a single stock, and what the exercise does to your bracket and to AMT in that year.

Spreading exercises across multiple tax years is often more effective than optimizing the timing within a single year. That only works if you plan more than one year ahead.

SECTION FOUR

Concentration in EL

Equity compensation creates concentration automatically. Grants accumulate faster than most people sell, and the result is a portfolio where one position dominates.

The exposure is larger than the account balance suggests. Your salary, your bonus, your future grants, and your job security all depend on the same company as your largest holding. A serious downturn at Estée Lauder would affect your income and your portfolio at the same time, which is precisely when you would least want it to.

A common reference point is 10% to 20% of liquid net worth in any single stock. That is a starting point for a conversation, not a rule. What matters is whether the position is sized so that a bad outcome in one company is survivable.

SECTION FIVE

Tools that address concentration

Each of these has meaningful conditions attached. They are listed so you know what exists and what questions to ask, not as recommendations.

Tool	What it does	The catch
Rule 10b5-1 plan	A written plan, adopted while you are not aware of material nonpublic information, that sells on a preset schedule.	Mandatory cooling-off period before trading begins. Must be adopted in an open window.
Net unrealized appreciation	Company stock distributed from a qualified plan can have its appreciation taxed at long-term capital gains rates rather than ordinary rates.	Requires a qualifying lump-sum distribution and a triggering event. Executed incorrectly, the opportunity is lost permanently.
83(b) election	For restricted stock — not RSUs — elects to be taxed at grant rather than at vesting.	Must be filed within 30 days of grant. No extensions. Taxes paid are not recoverable if the award never vests.
Charitable giving of shares	Donating appreciated shares held long-term may avoid capital gains while providing a deduction at fair market value.	Deduction limits apply, and it only makes sense if you were giving anyway.
Exchange funds	Contribute a concentrated position into a pooled vehicle in exchange for a diversified interest, deferring gain.	Long lock-up periods, limited liquidity, and eligibility requirements.

SECTION SIX

What has a deadline

Most equity compensation planning is not urgent. These items are, because they are date-driven rather than market-driven.

Deadline	What it governs
30 days from grant	83(b) election on restricted stock. Statutory, no extensions available.
90 days from departure	Typical window to exercise vested options after leaving. Check your plan — it varies.
Open trading windows	When you can transact and when a 10b5-1 plan can be adopted, if you are subject to insider trading policy.
Autumn each year	Deferred compensation elections for the following year are generally irrevocable once made.
December 31	Anything you want recognized in the current tax year — exercises, sales, charitable gifts, Roth conversions.
Two-year lookback	Income reported this year determines Medicare premium surcharges two years later. The tiers are cliffs, not gradual.

The one that surprises people

The Medicare lookback. A large exercise or vest can raise premiums two years out for you and a spouse, and a single dollar over a threshold moves you into the entire next tier. It is worth modeling before a large transaction, not after.

SECTION SEVEN

Your position, on one page

Fill this in from your equity portal. Most people have never seen all of it in one place, and the exercise itself tends to surface the question that matters.

Outstanding awards

Type	Grant date	Quantity	Vest / expiry	Exercise price

The five questions

Question	Your answer
What is the total value of your EL holdings, including unvested awards?	
What percentage of your liquid net worth is that?	
What federal rate did your most recent vest withhold at?	
What is your marginal federal bracket this year?	
What is the next date on which you must act — a vest, an expiry, or an election?	

If questions three and four do not match
You have a withholding gap, and it is worth addressing before December 31. That is usually the most valuable fifteen minutes in this guide.

NEXT STEPS

Where to go from here

If the worksheet raised a question you cannot answer from your equity portal, that is the normal outcome. The portal shows awards. It does not show what they do to your tax picture, your concentration, or your retirement plan.

Skyview Financial Group offers Estée Lauder employees a complimentary equity compensation analysis. We map every outstanding grant onto a single page, lay out the vesting schedule, and model exercise and sale scenarios against your actual bracket. You receive a written summary you keep.

There is no cost and no obligation to work with us afterward. Some people take the analysis, act on it themselves, and we never hear from them again. That is a perfectly good outcome.

To request the analysis
Email **info@skyviewfg.com** or call **(888) 406-0444**. We will ask for a grant summary export from your equity portal — a screenshot or PDF is fine — and set up a time to walk through it together.

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